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The Operating Brief

For Australian business operators

TODAY'S BRIEFING

| AI & TECHNOLOGY

Cloudflare just confirmed what many have suspected: AI is eliminating real jobs at thriving companies. The cloud giant axed 1,100 roles while posting record revenue — proof that AI doesn't rescue struggling operations, it amplifies winners while shedding headcount. OpenAI expanded its developer API with new voice intelligence features this week, giving builders the infrastructure to create real-time voice applications at enterprise scale.

Intel's comeback is gathering momentum, with the chipmaker repositioning itself as a critical node in the AI infrastructure boom. Sony, meanwhile, is betting that AI-assisted game development will flood markets with more titles than ever — a boon for output, but a discoverability problem in an already crowded space. OpenAI also published its internal framework for running Codex safely, a signal that agentic coding tools are moving from experiment to production.

| AUSTRALIAN BUSINESS & FINANCE

A quiet legal loophole is stripping some of Australia's lowest-paid workers of their retirement savings. Domestic workers — cleaners, in-home carers, personal assistants — fall outside compulsory superannuation obligations under rules that haven't kept pace with the modern workforce. As the federal budget looms, advocates are pushing for a fix before more workers are left short.

Housing affordability is doing more than locking young Australians out of property markets — it's constraining how they live. High prices in capital cities pushed many toward regional areas, but those too have become expensive. Younger Australians report delaying major life decisions — where to work, whether to start families — because financial pressure leaves little room to move.

| WORLD MARKETS & GLOBAL BUSINESS

Oil prices jumped after US and Iranian forces exchanged fire near the Strait of Hormuz, one of the world's most critical energy shipping lanes. The exchange put a risk premium back on crude, with Asia-Pacific importers — including Australia — directly exposed to any sustained disruption. Tehran branded the US action a "reckless military adventure."

A fragile pause emerged in Eastern Europe, with Donald Trump announcing a three-day Russia-Ukraine ceasefire. Markets responded cautiously — short ceasefires in this conflict have come and gone — but any de-escalation signal reduces tail risk on European energy and grain prices. Separately, an international cyberattack took down systems across universities and schools in multiple countries, a reminder that public institutions remain soft targets.

| THE BIG PICTURE

AI adoption is moving faster than corporate governance can track. Cloudflare didn't announce a restructuring plan or a transition roadmap — it simply reported the jobs were gone and the revenue was up. That's the template now: leaner teams, higher output, shareholders rewarded.

The roles disappearing aren't just factory floors and call centres. Administrative, back-office, and specialist coordination work is being automated at speed — in healthcare, logistics, finance, legal. The question for Australian operators is no longer whether AI will change

their cost base. It's whether they're the ones deploying the tools or the ones being replaced by them.

Full stories and analysis are below.

WHAT THIS MEANS FOR YOU

Cloudflare just cut 1,100 jobs while posting record profit — AI is rewarding companies that move fast. The roles going first are admin, coordination, and back-office work. If that sounds like your job, focus now on the skills machines can't replicate: judgment, relationships, and creative problem-solving.

AI STORIES

| OVERVIEW

Cloudflare confirmed AI made 1,100 positions redundant while the company hit record revenue, marking a turning point in how profitable businesses use automation. OpenAI launched new voice intelligence features in its API, accelerating the push toward real-time AI-powered voice applications at scale. Intel's AI infrastructure repositioning and Sony's prediction of AI-flooded game markets show the technology reshaping both silicon and content industries simultaneously.

TECHCRUNCH · INDUSTRY NEWS

Cloudflare says AI made 1,100 jobs obsolete, even as revenue hit a record high

Cloudflare eliminated 1,100 roles attributing the cuts directly to AI-driven efficiency gains, even as the company posted record revenue. The story is a live case study in how AI enables businesses to grow output while shrinking headcount.

TECHCRUNCH · LAB ANNOUNCEMENT

OpenAI launches new voice intelligence features in its API

OpenAI added real-time voice intelligence capabilities to its developer API, enabling businesses to build conversational AI products with lower latency and higher accuracy. The release targets enterprise developers looking to move voice applications into production.

TECHCRUNCH · INDUSTRY NEWS

Intel's comeback story is even wilder than it seems

Intel's turnaround goes deeper than recent headlines suggest, with the company repositioning itself as core infrastructure for the AI compute boom. The chipmaker's recovery has implications for the global semiconductor supply chain that AI hardware depends on.

ARS TECHNICA · INDUSTRY NEWS

Sony says "efficient" AI tools will lead to even more games flooding the market

Sony predicts AI-assisted development will dramatically increase the volume of games released, lowering production barriers for smaller studios. While output rises, the company acknowledges discoverability will become an even fiercer challenge in an already saturated market.

OPENAI · LAB ANNOUNCEMENT

Running Codex safely at OpenAI

OpenAI published its internal safety framework for deploying Codex, its agentic coding tool, at scale within the company. The document signals that AI coding agents are moving from experimental tools to trusted production systems, with safety protocols designed to match.

PODCAST PICKS

THE AI DAILY BRIEF

The Week the AI Story Shifted

A breakdown of the pivotal developments that reshaped the AI narrative this week, from enterprise adoption signals to policy shifts. Essential listening for anyone tracking how the business and cultural story around AI is evolving in real time.

THE TWIML AI PODCAST

How to Find the Agent Failures Your Evals Miss with Scott Clark - #767

Scott Clark walks through why standard evaluation frameworks miss critical failure modes in AI agents, and what teams should actually be testing. Practical and technical — useful for anyone building or deploying agentic AI systems.

LEX FRIDMAN PODCAST

#496 – FFmpeg: The Incredible Technology Behind Video on the Internet

A deep dive into FFmpeg, the open-source engine silently powering almost all video on the internet, and the people who built it. A rare look at critical infrastructure that most technology businesses depend on without knowing it.

WORLD NEWS

| GLOBAL SNAPSHOT

Oil prices surged after US and Iranian forces exchanged fire in the Strait of Hormuz, raising supply disruption fears for Asia-Pacific energy markets. Donald Trump announced a three-day Russia-Ukraine ceasefire, offering a tentative pause in a conflict that has kept global commodity markets on edge since 2022. An international cyberattack disrupted systems across universities and schools in multiple countries, highlighting persistent vulnerabilities in public sector digital infrastructure.

BBC NEWS

Oil prices rise after US and Iran exchange fire in Hormuz strait

US and Iranian forces clashed near the Strait of Hormuz, triggering an immediate spike in oil prices and putting energy markets on alert. The strait carries roughly 20% of global oil supply, making any conflict there a direct risk for Australian fuel and logistics costs.

BBC NEWS

Trump says Russia and Ukraine to observe three-day ceasefire

Donald Trump announced both sides had agreed to a three-day ceasefire, the most significant pause in fighting since the conflict escalated. Markets reacted with cautious optimism, though analysts noted that short ceasefires in this war have repeatedly collapsed.

BBC NEWS

International cyber attack disrupts swathe of universities and schools

A coordinated cyberattack took down systems at universities and schools across multiple countries, disrupting operations and raising questions about the sector's security posture. The attack is a warning for Australian educational institutions and public sector operators running ageing IT infrastructure.

AUSTRALIAN NEWS

| AUSTRALIA SNAPSHOT

A legal loophole is denying thousands of Australian domestic workers compulsory superannuation, leaving low-income earners further behind on retirement savings. Soaring property prices are narrowing life choices for young Australians beyond just homeownership, with regional affordability also deteriorating rapidly. Australians living with motor neurone disease are sounding the alarm over proposed NDIS changes that could remove fast-tracked access to critical support.

ABC NEWS

The loophole that means employers don't need to pay these workers super

Domestic workers including cleaners and in-home carers are excluded from compulsory superannuation under outdated legislation that has not kept pace with workforce changes. Advocates are calling for an immediate legislative fix ahead of the federal budget, warning the gap is compounding retirement poverty for already low-paid workers.

ABC NEWS

How sky-high property prices are limiting young people's life choices

Australia's housing crisis has spread well beyond capital cities, with regional areas that once offered affordable alternatives now priced out of reach for younger generations. Young Australians report delaying decisions about work, family, and location because financial constraints leave them with no room to manoeuvre.

ABC NEWS

Australians with motor neurone disease fear losing fast-tracked NDIS

Advocates for Australians living with motor neurone disease are warning that proposed NDIS reforms could eliminate the fast-tracked access pathway that many rely on given the rapid progression of the disease. The changes would force patients into a longer assessment process at a time when speed of support is critical to quality of life.

THE NUMBER

1,100 jobs

Cloudflare eliminated 1,100 roles using AI while posting record revenue — a preview of what's already reshaping offices across Australia.

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THE NUMBER

1,100 jobs

Cloudflare eliminated 1,100 roles using AI while posting record revenue — a preview of what's already reshaping offices across Australia.

theoperatingbrief.com

Cloudflare wiped out 1,100 jobs with AI — and made more money than ever doing it. This isn't a Silicon Valley story; it's the playbook that Australian businesses are already watching closely.

Is your role the kind AI replaces first, or the kind it makes more valuable?

Read the full brief at theoperatingbrief.com

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